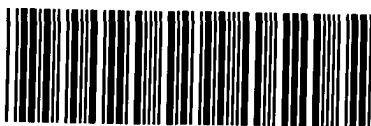


Company Registration No. 06366729 (England and Wales)

STYLESCAPE LIMITED
REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED
31 DECEMBER 2023

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STYLESCAPE LIMITED

COMPANY INFORMATION

Directors	C S Doherty K A McCormick D Sindwani D S Kofoid J F Strain C Barclay
Secretary	A Moumtzoglou
Company number	06366729
Registered office	26 Hatton Garden London EC1N 8BR
Auditor	RSM UK Audit LLP Chartered Accountants Davidson House Forbury Square Reading Berkshire RG1 3EU

STYLESCAPE LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 31 DECEMBER 2023

The directors present their Strategic Report for Stylescape Limited ("the Company" or "EDITED") and its subsidiaries (collectively "the Group") for the year ended 31 December 2023.

Review of the business and principal activities

Stylescape Limited, trading as EDITED, is a retail data & analytics technology company. Its platform uses A.I., sophisticated analytics, and image and text recognition to understand pricing, discounts, assortments, and trends in real-time across the apparel, beauty and homeware industries.

The Group is a Software-as-a Service business providing cloud access to the EDITED platform and has one type of recurring revenue in the form of a Licence Fee.

The Group's revenue has continuously grown year-on-year. It is currently loss making and will continue to be so in the next few quarters whilst it invests in scaling up globally.

The Group has a diversified portfolio of high profile retailers and brands, with the largest customer accounting for less than 5% of revenue. Its customers are spread across different geographic areas so the business is not reliant on any one geography.

The Group's main costs are headcount expense so it is well placed to manage its business risks successfully and can adapt quickly to challenging economic and market conditions by substantially cutting down its cost base and growing at a slower pace.

2023 Main events

The main events of the year include:

- Julia Fowler resigned from her positions as Chief Operating Officer and Director & Secretary of the Board.
- The appointments of a new Chief Marketing Officer, a Chief Revenue Officer and Chief of Staff.
- Delta-V invested \$15M as part of a combined primary and secondary transaction.

Events after the reporting date

- None

Principal risks and uncertainties

The directors assess the risks and uncertainties facing the business on a regular basis with principal risks identified as follows:

- Customer acquisition & retention - the Group's future growth and profitability may be impacted by the rate of new customer acquisition and by the Group's ability to retain its existing customers and expand its contracts, especially in view of the current adverse market environment.
- Tax & currency exposure - the Group is exposed to a variety of risks related to its international operations, including different tax laws applicable to the different countries it operates in and significant foreign currency exchange fluctuations.
- Technology risk - the Group relies on sophisticated infrastructure and technologies to operate its platforms, both internal and from third party suppliers. Any failure to maintain and keep improving such technologies could result in outages and materially harm the business.
- Financial risk - the Company took out significant debt in 2021 in order to fund the acquisition of DynamicAction, this debt has been paid off in 2023 and a new loan was taken out to fund this. The Company is not projected to be profitable until 2025.

Future developments

The Group is expecting to continue growing in 2024, both through the expansion of current customer contracts and via the acquisition of new customers, and to hit EBITDA breakeven in the fourth quarter. The Group also continues to work on product enhancements and innovation to improve user adoption and stay ahead of the market.

STYLESCAPE LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 31 DECEMBER 2023

On behalf of the board

DocuSigned by:

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C S Doherty
Director

June 10, 2024
Date:

STYLESCAPE LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 DECEMBER 2023

The directors present their annual report and financial statements for the year ended 31 December 2023.

Principal activities

Please refer to the Strategic report.

Results and dividends

The results for the year are set out on page 9.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend. No preference dividends were paid. The directors do not recommend payment of a final dividend.

Directors

The directors who held office during the year and up to the date of signature of the financial statements were as follows:

C S Doherty	
J M Fowler	(Resigned 23 March 2023)
K A McCormick	
D Sindwani	
D S Kofoed	
J F Strain	(Appointed 10 October 2023)
C Barclay	(Appointed 23 March 2023)

Financial instruments

The Group does not have any non-basic financial instruments.

Financial risks

Please refer to the Strategic report.

Research and development

R&D expenditure relating to the development of software and platform infrastructure are recognised as expenses in the year they are incurred and not capitalised.

Employment policies

The Group employed an average of 145 people in 2023 (2022: 152). Through our Equality, Inclusion and Diversity Policy, the Group is committed to promoting equality of opportunity for all employees and job applicants. 'Equality' means ensuring everyone has the same opportunities to fulfil their potential free from discrimination. 'Inclusion' means ensuring everyone feels comfortable to be themselves at work and feels the worth of their contribution. 'Diversity' means the celebration of individual differences amongst the workforce. We actively support diversity and inclusion and ensure that all our employees are valued and treated with dignity and respect. We encourage everyone in our business to reach their potential.

The recruitment and selection process is crucially important to any equality, inclusion and diversity policy. We therefore endeavour through appropriate training to ensure that employees making selection and recruitment decisions will not discriminate, whether consciously or unconsciously, in making these decisions.

Post reporting date events

Please refer to the Strategic report.

Auditor

The auditor, RSM UK Audit LLP, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

STYLESCAPE LIMITED

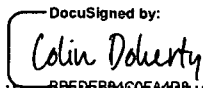
DIRECTORS' REPORT (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, each director has taken all the necessary steps that they ought to have taken as a director in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

DocuSigned by:



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C S Doherty

Director

June 10, 2024

Date:

STYLESCAPE LIMITED

DIRECTORS' RESPONSIBILITIES STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2023

The directors are responsible for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare group and company financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law).

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company, and of the profit or loss of the group for that period.

In preparing each of the group and company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and company's transactions and disclose with reasonable accuracy at any time the financial position of the group and the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF STYLESCAPE LIMITED

Opinion

We have audited the financial statements of Stylescape Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 31 December 2023 which comprise the consolidated statement of comprehensive income, the consolidated statement of financial position, the company statement of financial position, the consolidated statement of changes in equity, the company statement of changes in equity, the consolidated statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the group's and of the parent company's affairs as at 31 December 2023 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice;
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the group and parent company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's or the parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF STYLESCAPE LIMITED (CONTINUED)

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- *adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or*
- *the parent company financial statements are not in agreement with the accounting records and returns; or*
- *certain disclosures of directors' remuneration specified by law are not made; or*
- *we have not received all the information and explanations we require for our audit.*

Responsibilities of directors

As explained more fully in the directors' responsibilities statement set out on page 5, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the group's and the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities are instances of non-compliance with laws and regulations. The objectives of our audit are to obtain sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements, to perform audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements, and to respond appropriately to identified or suspected non-compliance with laws and regulations identified during the audit.

In relation to fraud, the objectives of our audit are to identify and assess the risk of material misstatement of the financial statements due to fraud, to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses and to respond appropriately to fraud or suspected fraud identified during the audit.

However, it is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, the group audit engagement team:

- *obtained an understanding of the nature of the industry and sector, including the legal and regulatory frameworks that the group and parent company operates in and how the group and parent company are complying with the legal and regulatory frameworks;*
- *inquired of management, and those charged with governance, about their own identification and assessment of the risks of irregularities, including any known actual, suspected or alleged instances of fraud;*
- *discussed matters about non-compliance with laws and regulations and how fraud might occur including assessment of how and where the financial statements may be susceptible to fraud.*

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF STYLESCAPE LIMITED (CONTINUED)

As a result of these procedures we consider the most significant laws and regulations that have a direct impact on the financial statements are FRS 102, the Companies Act 2006 and tax compliance regulations. We performed audit procedures to detect non-compliances which may have a material impact on the financial statements which included reviewing financial statement disclosures and evaluating advice received from internal tax advisors.

The group audit engagement team identified the risk of management override of controls and revenue cut-off as the areas where the financial statements were most susceptible to material misstatement due to fraud. Audit procedures performed included but were not limited to testing manual journal entries and other adjustments and evaluating the business rationale in relation to significant, unusual transactions and transactions entered into outside the normal course of business and testing a sample of revenue transactions either side of the year end to ensure that revenue has been recorded in the appropriate accounting period.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: <http://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Mayulee Pinkerton

Mayulee Pinkerton CA (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor
Chartered Accountants
Davidson House
Forbury Square
Reading
Berkshire, RG1 3EU

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STYLESCAPE LIMITED**CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2023**

		2023	2022
	Notes	£	as restated £
Turnover	4	23,305,053	21,777,122
Cost of sales		(6,260,031)	(5,222,637)
Gross profit		17,045,022	16,554,485
Administrative expenses		(20,903,346)	(21,960,664)
Other operating income		2,865	2,581
Operating loss	8	(3,855,459)	(5,403,598)
Interest receivable and similar income	10	20,689	-
Interest payable and similar expenses	11	(1,763,240)	(897,851)
Loss before taxation		(5,598,010)	(6,301,449)
Tax on loss	12	13,449	4,507
Loss for the financial year		(5,584,561)	(6,296,942)
Other comprehensive income net of taxation			
Currency translation differences		215,901	(396,190)
Total comprehensive income for the year		(5,368,660)	(6,693,132)

Loss for the financial year is all attributable to the owners of the parent company.

Total comprehensive income for the year is all attributable to the owners of the parent company.

STYLESCAPE LIMITED**CONSOLIDATED STATEMENT OF FINANCIAL POSITION****AS AT 31 DECEMBER 2023**

		2023		2022 as restated	
	Notes	£	£	£	£
Fixed assets					
Goodwill	13		7,919,523		9,009,120
Other intangible assets	13		3,105		7,763
Total intangible assets			7,922,628		9,016,883
Tangible assets	14		74,355		119,478
			7,996,983		9,136,361
Current assets					
Debtors falling due after more than one year	17	132,734		116,145	
Debtors falling due within one year	17	4,773,317		4,188,170	
Cash at bank and in hand		2,474,608		2,132,524	
			7,380,659		6,436,839
Creditors: amounts falling due within one year	18	(17,642,508)		(19,006,336)	
Net current liabilities			(10,261,849)		(12,569,497)
Total assets less current liabilities			(2,264,866)		(3,433,136)
Creditors: amounts falling due after more than one year	19		(9,068,788)		(5,819,714)
Net liabilities			(11,333,654)		(9,252,850)
Capital and reserves					
Called up share capital	23		32		31
Share premium account	24		15,823,113		13,374,314
Share based payment reserves	25		1,950,246		1,111,190
Profit and loss reserves	25		(29,107,045)		(23,738,385)
Total equity			(11,333,654)		(9,252,850)

June 10, 2024

The financial statements were approved by the board of directors and authorised for issue on and are signed on its behalf by:

DocuSigned by:

Colin Doherty

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C S Doherty

Director

Company Registration No. 06366729

STYLESCAPE LIMITED**COMPANY STATEMENT OF FINANCIAL POSITION****AS AT 31 DECEMBER 2023**

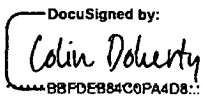
		2023		2022 as restated	
	Notes	£	£	£	£
Fixed assets					
Intangible assets	13		3,105		7,763
Tangible assets	14		43,320		69,390
Investments	15		11,768,461		11,176,163
			<u>11,814,886</u>		<u>11,253,316</u>
Current assets					
Debtors	17	8,032,576		6,536,056	
Cash at bank and in hand		708,868		917,951	
			<u>8,741,444</u>		<u>7,454,007</u>
Creditors: amounts falling due within one year	18	(12,542,146)		(12,863,516)	
Net current liabilities			<u>(3,800,702)</u>		<u>(5,409,509)</u>
Total assets less current liabilities			<u>8,014,184</u>		<u>5,843,807</u>
Creditors: amounts falling due after more than one year	19		(9,068,788)		(5,819,714)
Net (liabilities)/assets			<u>(1,054,604)</u>		<u>24,093</u>
Capital and reserves					
Called up share capital	23		32		31
Share premium account	24		15,823,113		13,374,314
Share based payment reserves	25		1,884,772		1,045,716
Profit and loss reserves	25		(18,762,521)		(14,395,968)
Total equity			<u>(1,054,604)</u>		<u>24,093</u>

As permitted by s408 Companies Act 2006, the company has not presented its own statement of comprehensive income and related notes as it prepares group accounts. The company's loss for the year was £4,366,553 (2022: £3,584,207).

June 10, 2024

The financial statements were approved by the board of directors and authorised for issue on and are signed on its behalf by:

DocuSigned by:



C S Doherty

Director

STYLESCAPE LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	Share capital £	Share premium account £	Share based payment reserves £	Profit and loss reserves £	Total £
As restated for the period ended 31 December 2022:						
Balance at 1 January 2022		30	11,370,946	653,212	(14,149,045)	(2,124,857)
Effect of prior period adjustment		-	-	-	(2,896,208)	(2,896,208)
As restated		30	11,370,946	653,212	(17,045,253)	(5,021,065)
Year ended 31 December 2022:						
Loss for the year (as restated)		-	-	-	(6,296,942)	(6,296,942)
Other comprehensive income net of taxation:						
Currency translation differences		-	-	-	(396,190)	(396,190)
Total comprehensive income for the year (as restated)		-	-	-	(6,693,132)	(6,693,132)
Issue of share capital		1	2,003,368	-	-	2,003,369
Credit to equity for equity settled share-based payments		-	-	457,978	-	457,978
Balance at 31 December 2022 (as restated)		31	13,374,314	1,111,190	(23,738,385)	(9,252,850)
Year ended 31 December 2023:						
Loss for the year		-	-	-	(5,584,561)	(5,584,561)
Other comprehensive income net of taxation:						
Currency translation differences		-	-	-	215,901	215,901
Total comprehensive income for the year		-	-	-	(5,368,660)	(5,368,660)
Issue of share capital	23	1	2,448,799	-	-	2,448,800
Credit to equity for equity settled share-based payments	7	-	-	839,056	-	839,056
Balance at 31 December 2023		32	15,823,113	1,950,246	(29,107,045)	(11,333,654)

STYLESCAPE LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	Share capital £	Share premium account £	Share based payment reserves £	Profit and loss reserves £	Total £
Balance at 1 January 2022		30	11,370,946	587,738	(10,811,761)	1,146,953
Year ended 31 December 2022:						
Loss and total comprehensive income for the year		-	-	-	(3,584,207)	(3,584,207)
Issue of share capital		1	2,003,368	-	-	2,003,369
Credit to equity for equity settled share-based payments		-	-	457,978	-	457,978
Balance at 31 December 2022		31	13,374,314	1,045,716	(14,395,968)	24,093
Year ended 31 December 2023:						
Loss and total comprehensive income for the year		-	-	-	(4,366,553)	(4,366,553)
Issue of share capital	23	1	2,448,799	-	-	2,448,800
Credit to equity for equity settled share-based payments	7	-	-	839,056	-	839,056
Balance at 31 December 2023		32	15,823,113	1,884,772	(18,762,521)	(1,054,604)

STYLESCAPE LIMITED**CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2023**

	Notes	2023 £	£	2022 £	£
Cash flows from operating activities					
Cash absorbed by operations	26	(3,847,073)		(4,309,887)	
Interest paid		(2,209,035)		(814,819)	
Income taxes refunded/(paid)		422,309		(57,145)	
Net cash outflow from operating activities		(5,633,799)		(5,181,851)	
Investing activities					
Purchase of tangible fixed assets		(23,133)		(91,873)	
Proceeds on disposal of tangible fixed assets		2,660		2,112	
Interest received		20,689		-	
Net cash generated from/(used in) investing activities			216		(89,761)
Financing activities					
Proceeds from issue of shares		2,539,980		2,003,369	
Proceeds of new bank loans		12,048,817		3,033,156	
Repayment of bank loans		(8,541,016)		(362,825)	
Net cash generated from financing activities		6,047,781		4,673,700	
Net increase/(decrease) in cash and cash equivalents		414,198		(597,912)	
Cash and cash equivalents at beginning of year		2,132,524		2,933,852	
Effect of foreign exchange rates		(72,114)		(203,416)	
Cash and cash equivalents at end of year		2,474,608		2,132,524	

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023

1 Accounting policies

Company information

Stylescape Limited ("the company") is a private company limited by shares and is registered and incorporated in England and Wales. The registered office is 26 Hatton Garden, London, EC1N 8BR.

The group consists of Stylescape Limited and all of its subsidiaries.

The company's and the group's principal activities and nature of its operations are disclosed in the Strategic Report.

Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £1.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

The company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements for parent company information presented within the consolidated financial statements:

- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues': Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment': Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

Basis of consolidation

The consolidated financial statements incorporate those of Stylescape Limited and all of its subsidiaries (i.e. entities that the group controls through its power to govern the financial and operating policies so as to obtain economic benefits). Subsidiaries acquired during the year are consolidated using the purchase method. Their results are incorporated from the date that control passes.

All financial statements are made up to 31 December 2023. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the group.

All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

1 Accounting policies (Continued)

The cost of a business combination is the fair value at the acquisition date of the assets given, equity instruments issued and liabilities incurred or assumed, plus costs directly attributable to the business combination. The excess of the cost of a business combination over the fair value of the identifiable assets, liabilities and contingent liabilities acquired is recognised as goodwill.

The cost of the combination includes the estimated amount of contingent consideration that is probable and can be measured reliably, and is adjusted for changes in contingent consideration after the acquisition date.

Provisional fair values recognised for business combinations in previous periods are adjusted retrospectively for final fair values determined in the 12 months following the acquisition date.

Deferred tax is recognised on differences between the value of assets (other than goodwill) and liabilities recognised in a business combination accounted for using the purchase method and the amounts that can be deducted or assessed for tax, considering the manner in which the carrying amount of the asset or liability is expected to be recovered or settled. The deferred tax recognised is adjusted against goodwill or negative goodwill.

Going concern

The Group is currently loss-making and will continue to be so whilst it expands globally. The Group has long-term contracts with many high-profile customers across different geographic areas and continues to acquire new customers and also increase revenues from existing ones. It is well placed to manage its business risks successfully and can adapt quickly to changing economic and market conditions, through reducing its cost base and growing at a slower pace. The Group has seen a slow down in growth during 2023 as the retail industry is faced with uncertain market conditions, however, the directors consider that the Group is able to withstand any market disruption. Accordingly, the directors continue to adopt the going concern basis in preparing the annual accounts and conclude that there is no material uncertainty to this effect.

Turnover

Revenue is categorised as annual recurring revenue (ARR) and non recurring revenue (NRR).

ARR is the annual recurring revenue, which is the sum of all revenue derived from customer contracts over the course of the next 12 months. This includes customer contracts that last one year or longer. ARR is recognised over length of the contract.

The following revenue streams make up the ARR:

- Subscription revenue;
- Customer success revenue;
- Data retention revenue if recurring in nature.

NRR is the non recurring revenue, which is the sum of all revenue derived from customer contracts which are one-offs and typically less than 12 months. NRR is either recognised immediately (launch services) or in the case of implementation, over a period of 30 months, which is the average customer contract term.

The following revenue streams make up the NRR:

- Implementation revenue;
- Data retention revenue, if a one-time contract;
- Launch services.

The group recognises its revenue as follows:

Customer success revenue

Customer success revenue is recognised rateably over the term of the contract.

Data retention revenue

Revenue from data retention is recognised rateably over the term of the contract.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

1 Accounting policies (Continued)

Turnover (continued)

Subscription revenue

Revenue from subscription services is recognised rateably over the term of the contract.

Implementation and launch services revenue

Revenue from implementation services is recognised rateably over the average customer contract term, determined by management to be 30 months.

Launch services are a one-off immediate recognition revenue stream, generally occurring at the time of acquiring a new customer.

Intangible fixed assets - goodwill

Goodwill represents the excess of the cost of acquisition of a business over the fair value of net assets acquired. It is initially recognised as an asset at cost and is subsequently measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is considered to have a finite useful life and is amortised on a systematic basis over its expected life, which is 10 years.

For the purposes of impairment testing, goodwill is allocated to the cash-generating units expected to benefit from the acquisition. Cash-generating units to which goodwill has been allocated are tested for impairment at least annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit.

Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

Amortisation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Patents and licences	5 years straight line
Domain names	3 years straight line

Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Leasehold improvements	over the remaining lease period
Fixtures and fittings	25% to 33.33% on cost
Computers	33.33% on cost

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

1 Accounting policies (Continued)

Fixed asset investments

In the separate accounts of the company, interests in subsidiaries are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

Impairment of fixed assets

At each reporting period end date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Cash and cash equivalents

Cash and cash equivalents are basic financial instruments and include cash in hand and deposits held at call with banks.

Financial instruments

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include trade and other debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the financial asset is measured at the present value of the future receipts discounted at a market rate of interest.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

1 Accounting policies (Continued)

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including trade and other creditors and bank loans are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the group's contractual obligations are discharged, cancelled, or they expire.

Equity instruments

Equity instruments issued by the group are recorded at the fair value of proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Taxation

The tax expense represents the sum of the current tax expense and deferred tax expense. Current tax assets are recognised when tax paid exceeds the tax payable.

Current and deferred tax is charged or credited to profit or loss, except when it relates to items charged or credited to other comprehensive income or equity, when the tax follows the transaction or event it relates to and is also charged or credited to other comprehensive income, or equity.

Current tax assets and current tax liabilities and deferred tax assets and deferred tax liabilities are offset, if and only if, there is a legally enforceable right to set off the amounts and the entity intends either to settle on the net basis or to realise the asset and settle the liability simultaneously.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

1 Accounting policies (Continued)

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

Retirement benefits

For defined contribution schemes the amount charged to profit or loss is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments.

Share-based payments

Stylescope Limited, the parent company of the group, operates two equity-settled, share-based compensation plans.

The fair value of the employee services received in exchange for the grant of the options is recognised as an expense on a straight-line basis over the vesting period. The total amount to be expensed over the vesting period is determined by reference to the fair value of the options granted, excluding the impact of any non-market vesting conditions (for example, profitability and sales growth targets). As the shares are not public, the market value is determined using a Black-Scholes valuation model, in line with grade vesting method. Non-market vesting conditions are included in assumptions about the number of options that are expected to vest.

At each balance sheet date, the company revises its estimates of the number of options that are expected to vest. It recognises the impact of the revision to original estimates, if any, in the statement of comprehensive income. The corresponding entry is made to equity.

On April 16, 2021, the Stylescope Limited issued phantom shares as part of the acquisition of the DynamicAction Group. These phantom shares are cash settled shared based payments and were issued by the company to the employees of its acquired subsidiaries. The capital entitlement payment that is created from the transaction will be cash settled and the fair value of this payment will be based on the detail of the transaction's contractual agreement.

The fair value will be reassessed annually with any changes in fair value recognised in the statement of comprehensive income and a liability recognised for the future cash payment. The expense is transferred to the employing subsidiary with a capital contribution being created for an equal value. In the company that holds the liability the benefit transferred is recognised as an increase in investment in subsidiaries of the company obtaining the benefit, this increase is then assessed for impairment in accordance with the company's accounting policy.

Leases

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

1 Accounting policies (Continued)

Foreign exchange

Transactions in currencies other than the functional currency (foreign currency) are initially recorded at the exchange rate prevailing on the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary assets and liabilities denominated in foreign currencies are translated at the rate ruling at the date of the transaction, or, if the asset or liability is measured at fair value, the rate when that fair value was determined.

All translation differences are taken to profit or loss, except to the extent that they relate to gains or losses on non-monetary items recognised in other comprehensive income, when the related translation gain or loss is also recognised in other comprehensive income.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Critical judgements

The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements.

Share-based payments

Stylescope Limited, the parent company of the group, operates two equity-settled, share-based compensation plans. The fair value of the employee services received in exchange for the grant of the options is recognised as an expense on a straight-line basis over the vesting period. The total amount to be expensed over the vesting period is determined by reference to the fair value of the options granted, excluding the impact of any nonmarket vesting conditions (for example, profitability and sales growth targets). Non-market vesting conditions are included in assumptions about the number of options that are expected to vest. At each balance sheet date, the company revises its estimates of the number of options that are expected to vest. It recognises the impact of the revision to original estimates, if any, in the statement of comprehensive income. The corresponding entry is made to equity.

The company operates two equity-settled, share-based compensation plans. As per FRS 102, the fair value of the employee services received in exchange for the grant of the options is recognised as an expense. The total amount to be expensed over the vesting period is determined by reference to the fair value of the options granted, excluding the impact of any non-market vesting conditions (for example, profitability and sales growth targets). As the shares are not public, the market value is determined using a Black-Scholes valuation mode, in line with grade vesting method. Non-market vesting conditions are included in assumptions about the number of options that are expected to vest. At each balance sheet date, the entity revises its estimates of the number of options that are expected to vest. It recognises the impact of the revision to original estimates, if any, in the income statement. The credit entry is taken to reserves because the share options are equity settled.

Goodwill

Goodwill represents the excess of the cost of acquisition of a business over the fair value of net assets acquired. It is initially recognised as an asset at cost and is subsequently measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is considered to have a finite useful life and is amortised on a systematic basis over its expected life, which is 10 years.

For the purposes of impairment testing, goodwill is allocated to the cash-generating units expected to benefit from the acquisition. Cash-generating units to which goodwill has been allocated are tested for impairment at least annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit.

During the year, the Company conducted an impairment review of the goodwill arising on the acquisition of DynamicAction and found there to be no impairment.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

3 Prior period adjustment

During the 2023 audit, the accounting for the consideration paid for the acquisition of DynamicAction group in April 2021 was reviewed and it is considered that the phantom shares and cash earnout performance bonus elements which were recorded as purchase consideration should instead have been accounted for as a share based payment transaction.

As a result of the error, the carrying value of goodwill, creditors due within one year, loss for the financial year ended 31 December 2022 and the opening profit and loss reserves as at 1 January 2022 have been restated. The impact of the adjustment was as follows:

Changes to the statement of financial position - group

	As previously reported £	Adjustment at 1 Jan 2022 £	Adjustment at 31 Dec 2022 £	As restated at 31 Dec 2022 £
Fixed assets				
Goodwill	11,941,122	(3,286,609)	354,607	9,009,120
Creditors due within one year	(18,379,771)	390,401	(1,016,966)	(19,006,336)
	<u> </u>	<u> </u>	<u> </u>	<u> </u>
Capital and reserves				
Profit and loss reserves	(20,179,818)	(2,896,208)	(662,359)	(23,738,385)
	<u> </u>	<u> </u>	<u> </u>	<u> </u>

Changes to the income statement - group

	As previously reported £	Adjustment £	As restated £
Period ended 31 December 2022			
Loss for the financial year	(5,634,583)	(662,359)	(6,296,942)
	<u> </u>	<u> </u>	<u> </u>

During the 2023 audit, the accounting for the consideration paid for the acquisition of DynamicAction group in April 2021 was reviewed and it is considered that the phantom shares and cash earnout performance bonus elements which were recorded as purchase consideration should instead have been accounted for as a share based payment transaction.

As a result of the error, the carrying value of investments and creditors due within one year were restated. The impact of the adjustment was as follows:

There was no impact on the profit and loss account as presented at 31 December 2022.

Changes to the statement of financial position - company

	As previously reported £	Adjustment at 1 Jan 2022 £	Adjustment at 31 Dec 2022 £	As restated at 31 Dec 2022 £
Fixed assets				
Investments	10,549,598	(390,401)	1,016,966	11,176,163
Creditors due within one year	(12,236,951)	390,401	(1,016,966)	(12,863,516)
	<u> </u>	<u> </u>	<u> </u>	<u> </u>

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

4 Turnover and other revenue

	2023 £	2022 £
Turnover analysed by class of business		
Annual recurring revenue	22,651,319	21,282,379
Non recurring revenue	653,734	494,743
	<u>23,305,053</u>	<u>21,777,122</u>
	2023 £	2022 £
Other revenue		
Interest income	20,689	-
	<u>20,689</u>	<u>-</u>
	2023 £	2022 £
Turnover analysed by geographical market		
United Kingdom	3,073,724	3,130,957
Europe	4,909,391	4,618,516
United States of America	13,397,578	12,447,328
Rest of the World	1,924,360	1,580,321
	<u>23,305,053</u>	<u>21,777,122</u>

5 Employees

The average monthly number of persons (including directors) employed during the year was:

	Group 2023 Number	2022 Number as restated	Company 2023 Number	2022 Number as restated
Sales	11	19	3	9
Customer service	23	31	12	17
Executives	10	7	4	2
Marketing	21	18	14	14
Operations and Finance	9	15	7	8
Product and Engineering	71	62	35	32
	<u>145</u>	<u>152</u>	<u>75</u>	<u>82</u>
Total				

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

5 Employees (Continued)

The 2022 employee numbers have been restated to reflect the reclass of Analyst and Implementation employees as Marketing and Product and Engineering employees respectively.

Their aggregate remuneration comprised:

	Group 2023	2022 as restated	Company 2023	2022
	£	£	£	£
Wages and salaries	13,136,091	13,269,926	6,041,007	5,338,203
Social security costs	1,070,842	1,027,978	594,621	600,657
Pension costs	309,777	863,138	112,705	114,972
Share based payments	839,056	1,474,944	246,758	457,978
	<u>15,355,766</u>	<u>16,635,986</u>	<u>6,995,091</u>	<u>6,511,810</u>

6 Directors' remuneration

	2023 £	2022 £
Remuneration for qualifying services	812,014	606,031
Company pension contributions to defined contribution schemes	15,163	19,370
	<u>827,177</u>	<u>625,401</u>

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2023 £	2022 £
Remuneration for qualifying services	438,092	256,543
Company pension contributions to defined contribution schemes	7,216	5,008

The number of directors who are entitled to receive shares under long term incentive schemes during the year was nil (2022 - nil).

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

7 Share-based payment transactions Group	Number of share options		Weighted average exercise price	
	2023 Number	2022 Number	2023 £	2022 £
Outstanding at 1 January 2023	184,047	165,510	-	-
Granted	353,292	46,037	7.68	4.55
Forfeited	(70,017)	(25,227)	6.39	5.45
Exercised	(28,540)	(2,273)	5.72	1.37
Outstanding at 31 December 2023	<u>438,782</u>	<u>184,047</u>	<u>6.03</u>	<u>3.04</u>
Exercisable at 31 December 2023	<u>130,907</u>	<u>145,006</u>	<u>-</u>	<u>-</u>

The options outstanding at 31 December 2023 had an exercise price ranging from £0.33 to £8.54, and a remaining contractual life of up to 10 years.

Group

For the sterling scheme, the weighted average fair value of options granted during the year was £12.67 (2022 - £14.36). Fair value was measured using the Black-Scholes-Merton option-pricing model.

Inputs were as follows:

	2023	2022
Weighted average share price	13.80	15.33
Weighted average exercise price	1.56	1.31
Expected volatility	85.00%	85.00%
Expected life	4.00	4.00
Risk free rate	<u>3.42</u>	<u>3.99</u>

For the US dollar scheme, the weighted average fair value of options granted during the year was £10.18 (2022: £12.38). Fair value was measured using the Black-Scholes-Merton option-pricing model.

Inputs were as follows:

	2023	2022
Weighted average share price	13.80	15.33
Weighted average exercise price	7.61	5.38
Expected volatility	85.00%	85.00%
Expected life	4.00	4.00
Risk free rate	<u>3.42</u>	<u>3.99</u>

STYLESCAPE LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)**
FOR THE YEAR ENDED 31 DECEMBER 2023**7 Share-based payment transactions (Continued)**

	Group	2022	Company	2022
	2023		2023	
	£	£	£	£
Expenses recognised in the year				
Arising from equity settled share based payment transactions	839,056	1,474,944	246,758	457,978

The company operates two equity-settled, share-based compensation plans in US dollars and in sterling. The fair value of the employee services received in exchange for the grant of the options is recognised as an expense. The total amount to be expensed over the vesting period is determined by reference to the fair value of the options granted, excluding the impact of any non-market vesting conditions (for example, profitability and sales growth targets). As the shares are not public, the market value is determined using a Black-Scholes valuation mode, in line with grade vesting method. Non-market vesting conditions are included in assumptions about the number of options that are expected to vest. At each balance sheet date, the entity revises its estimates of the number of options that are expected to vest. It recognises the impact of the revision to original estimates, if any, in the income statement. The credit entry is taken to reserves because the share options are equity-settled.

8 Operating loss

	2023	2022
	£	£
Operating loss for the year is stated after charging/(crediting):		
Exchange differences apart from those arising on financial instruments measured at fair value through profit or loss	647,239	962,529
Depreciation of owned tangible fixed assets	66,092	57,517
(Profit)/loss on disposal of tangible fixed assets	(496)	71
Amortisation of intangible assets	1,094,255	1,094,255
Share-based payments	839,056	1,474,944
Operating lease charges	986,711	847,779

9 Auditor's remuneration

	2023	2022
	£	£
Fees payable to the company's auditor and associates:		
For audit services		
Audit of the financial statements of the group and company	50,000	38,000
Audit of the financial statements of the company's subsidiaries	50,000	40,000
	100,000	78,000

10 Interest receivable and similar income

	2023	2022
	£	£
Interest income		
Interest on bank deposits	20,689	-

STYLESCAPE LIMITED**NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER 2023****11 Interest payable and similar expenses**

	2023	2022
	£	£
Interest on bank overdrafts and loans	1,763,240	897,851

12 Taxation

	2023	2022
	£	£
Current tax		
Adjustments in respect of prior periods	19,405	(67,554)
Foreign current tax on profits for the current period	4,998	65,750
Adjustments in foreign tax in respect of prior periods	(37,852)	(2,703)
Total current tax	(13,449)	(4,507)
Deferred tax		
Origination and reversal of timing differences	(1,451,248)	(1,063,979)
Other adjustments	1,451,248	1,063,979
Total deferred tax	-	-
Total tax credit	(13,449)	(4,507)

The total tax credit for the year included in the income statement can be reconciled to the loss before tax multiplied by the standard rate of tax as follows:

	2023	2022
	£	£
Loss before taxation	(5,598,010)	(6,301,449)
Expected tax credit based on the standard rate of corporation tax in the UK of 23.50% (2022: 19.00%)	(1,315,532)	(1,197,275)
Tax effect of expenses that are not deductible in determining taxable profit	20,800	303,076
Tax effect of income not taxable in determining taxable profit	-	(398)
Adjustments in respect of prior years	(18,447)	(191,009)
Permanent capital allowances in excess of depreciation	-	(21,600)
Share based payment charge	-	(465)
Effect of overseas tax rates	-	3,805
Adjust deferred tax to average rate for the period	(68,244)	(226,795)
Deferred tax not recognised	1,446,357	1,064,004
Other deductions	(78,383)	262,150
Taxation credit	(13,449)	(4,507)

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

12 Taxation (Continued)

Deferred tax assets are recognised only to the extent that the directors consider it is more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted. Accordingly, no deferred tax asset has been recognised in these financial statements. At 31 December 2023, the group had unrecognised deferred tax assets of £9,617,726 (2022: £1,283,659).

From 1 April 2023, the UK Government increased the main UK corporation tax rate from 19% to 25%.

13 Intangible fixed assets

Group	Goodwill £	Patents and licences £	Domain names £	Total £
Cost				
At 1 January 2023 and 31 December 2023 (as restated)	10,895,970	440	55,153	10,951,563
Amortisation and impairment				
At 1 January 2023 (as restated)	1,886,850	440	47,390	1,934,680
Amortisation charged for the year	1,089,597	-	4,658	1,094,255
At 31 December 2023	2,976,447	440	52,048	3,028,935
Carrying amount				
At 31 December 2023	7,919,523	-	3,105	7,922,628
At 31 December 2022 (as restated)	9,009,120	-	7,763	9,016,883
Company		Patents and licences £	Domain names £	Total £
Cost				
At 1 January 2023 and 31 December 2023		440	55,153	55,593
Amortisation and impairment				
At 1 January 2023		440	47,390	47,830
Amortisation charged for the year		-	4,658	4,658
At 31 December 2023		440	52,048	52,488
Carrying amount				
At 31 December 2023		-	3,105	3,105
At 31 December 2022		-	7,763	7,763

Amortisation of intangible fixed assets is recognised in administrative expenses in the statement of comprehensive income.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

14 Tangible fixed assets

Group	Leasehold improvements £	Fixtures and fittings £	Computers £	Total £
Cost				
At 1 January 2023	77,491	38,252	353,174	468,917
Additions	-	6,535	16,598	23,133
Disposals	-	-	(8,287)	(8,287)
At 31 December 2023	77,491	44,787	361,485	483,763
Depreciation and impairment				
At 1 January 2023	77,491	38,252	233,696	349,439
Depreciation charged in the year	-	1,253	64,839	66,092
Eliminated in respect of disposals	-	-	(6,123)	(6,123)
At 31 December 2023	77,491	39,505	292,412	409,408
Carrying amount				
At 31 December 2023	-	5,282	69,073	74,355
At 31 December 2022	-	-	119,478	119,478
Company				
	Leasehold improvements £	Fixtures and fittings £	Computers £	Total £
Cost				
At 1 January 2023	60,695	37,657	258,478	356,830
Additions	-	-	12,207	12,207
Disposals	-	-	(8,178)	(8,178)
At 31 December 2023	60,695	37,657	262,507	360,859
Depreciation and impairment				
At 1 January 2023	60,695	37,657	189,088	287,440
Depreciation charged in the year	-	-	36,222	36,222
Eliminated in respect of disposals	-	-	(6,123)	(6,123)
At 31 December 2023	60,695	37,657	219,187	317,539
Carrying amount				
At 31 December 2023	-	-	43,320	43,320
At 31 December 2022	-	-	69,390	69,390

Depreciation of tangible fixed assets is recognised in administrative expenses in the statement of comprehensive income.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) **FOR THE YEAR ENDED 31 DECEMBER 2023**

15 Fixed asset investments

		Group	2022	Company	2022
		2023		2023	as restated
	Notes	£	£	£	£
Investments in subsidiaries	16	-	-	11,768,461	11,176,163

Movements in fixed asset investments **Company**

	Shares in
	group
	undertakings
	£
Cost or valuation	
At 1 January 2023 and 31 December 2023 (as restated)	11,176,163
Additions	592,298
At 31 December 2023	11,768,461
Carrying amount	
At 31 December 2023	11,768,461
At 31 December 2022 (as restated)	11,176,163

The addition to investments relates to the Company granting rights to its equity instruments direct to the employees of its subsidiaries so that the Company has the obligation to provide the employees of the subsidiaries with the equity instruments needed. This is considered to be a capital contribution to the subsidiary.

16 Subsidiaries

Details of the company's subsidiaries at 31 December 2023 are as follows:

Name of undertaking	Registered office	Class of shares held	% Held Direct
Stylescape Inc.	160 Greentree Drive, Dover, Delaware, 19904, United States of America	100	100.00
Stylescape Australia Pty. Ltd	115/216 St Georges Terrace, 6000 Perth, Australia	100	100.00
DynamicAction Limited	26 Hatton Garden London EC1N 8BR	100	100.00
DynamicAction Inc.	3000 El Camino Real, Building 4, Suite 200, Palo Alto, CA. 94306, United States of America	100	100.00
DynamicAction Bulgaria EOOD	49B Bulagira Boulevard, Triaditsa, Floor 4, Sofia, 1404, Bulgaria	100	100.00

The directors of the company provided guarantees in respect of its trading subsidiary companies in accordance with section 479C of the Companies Act 2006. As a result, DynamicAction Limited (company number 09283850) is exempt from the requirements of the Companies Act 2006 relating to the audit of accounts for the year ended 31 December 2023 under section 479A of the Companies Act 2006.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

17 Debtors

	Group 2023	2022	Company 2023	2022
	£	£	£	£
Amounts falling due within one year:				
Trade debtors	3,487,656	2,010,468	2,054,774	1,333,853
Corporation tax recoverable	21,841	421,246	-	492,554
Amounts owed by group undertakings	-	-	5,440,823	3,743,003
Other debtors	648,496	327,491	284,592	151,436
Prepayments and accrued income	615,324	1,428,965	252,387	815,210
	<u>4,773,317</u>	<u>4,188,170</u>	<u>8,032,576</u>	<u>6,536,056</u>
Amounts falling due after more than one year:				
Other debtors	<u>132,734</u>	<u>116,145</u>	<u>-</u>	<u>-</u>
Total debtors	<u>4,906,051</u>	<u>4,304,315</u>	<u>8,032,576</u>	<u>6,536,056</u>

Amounts owed from group undertakings are unsecured, interest free and repayable on demand.

18 Creditors: amounts falling due within one year

		Group 2023	2022 as restated	Company 2023	2022 as restated
	Notes	£	£	£	£
Bank loans	20	4,005,420	4,183,294	4,005,420	4,183,294
Trade creditors		729,050	654,244	460,210	483,817
Amounts owed to group undertakings		-	-	-	2,093
Other taxation and social security		249,509	364,173	200,128	308,617
Deferred income	21	8,257,269	6,979,488	4,031,899	4,140,908
Other creditors		3,510,472	3,336,575	3,302,826	3,273,974
Accruals		890,788	3,488,562	541,663	470,813
		<u>17,642,508</u>	<u>19,006,336</u>	<u>12,542,146</u>	<u>12,863,516</u>

See note 20 for details of bank loans.

Included within other creditors of Stylescape Limited, the parent company, is £3,256,800 (2022: £3,256,800) relating to cash settled share based payments liabilities on the 100% share capital acquisition of DynamicAction Limited, DynamicAction, Inc. and DynamicAction Bulgaria EOOD that occurred during 2021.

Amounts owed to group undertakings are unsecured, interest free and repayable on demand.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

19 Creditors: amounts falling due after more than one year

	Notes	Group 2023 £	2022 £	Company 2023 £	2022 £
Bank loans and overdrafts	20	9,068,788	5,819,714	9,068,788	5,819,714

See note 20 for details of bank loans.

20 Borrowings

	Group 2023 £	2022 £	Company 2023 £	2022 £
Bank loans	13,074,208	10,003,008	13,074,208	10,003,008
Payable within one year	4,005,420	4,183,294	4,005,420	4,183,294
Payable after one year	9,068,788	5,819,714	9,068,788	5,819,714

Bank loans include £2,420,122 payable within one year (2022: £2,053,746) and £9,068,788 payable after one year (2022: £5,819,714) relating to a facility agreement dated 24th March 2023 between Stylescape Limited, the parent company, and Canadian Imperial Bank of Commerce (CIBC) for a \$12,000,000 term loan and a £2,310,519 drawdown from a £5,000,000 revolver facility. For the term loan, interest is charged monthly based on a margin percentage based on the leverage ratio plus SOFR (Secured Overnight Financing Rate), and for the revolver, interest is charged monthly based on based on a margin percentage based on the leverage ratio plus SONIA (Sterling Over Night Indexed Average).

Repayments on the term loan commence on the first anniversary of the loan at 2.5% for the first 12 months, then 5% for the remaining 36 months, with the balance repayable on 24th March 2028. The revolver facility also has a termination date of 24th March 2028.

Bank loans payable within one year include a warrant liability of £637,389 (2022: £1,148,470) in relation to a previous loan with Columbia Lake Partners. The loan was secured by way of a debenture and a fixed and floating charge over the trade and assets of the company with Wuessen Lending S.a.r.l. This charge was satisfied in April 2023, following repayment of the loan in March 2023.

Bank loans payable within one year also include a warrant liability of £947,909 (2022: £981,077) in relation to a previous loan with Bootstrap Europe S.C SP.

21 Deferred income

	Group 2023 £	2022 £	Company 2023 £	2022 £
Other deferred income	8,257,269	6,979,488	4,031,899	4,140,908

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

23 Share capital (Continued)

Ordinary shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Ordinary shares are entitled to a dividend on a winding up or liquidation subject to the preference of the Seed Preferred 1 and Seed Preferred 2 share classes.

Seed Preferred 1 shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Seed Preferred 1 shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares and subject to the preference of the Series 1A & 1B Preferred and Series 2A & 2B Preferred shares.

Seed Preferred 2 shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Seed Preferred 1 shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares and subject to the preference of the Series 1A & 1B Preferred and Series 2A & 2B Preferred shares.

Series 1A Preferred shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Series 1A Preferred shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares.

Series 1B Preferred shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Series 1B Preferred shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares.

Series 1C Preferred shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Series 1C Preferred shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares.

Series 2A Preferred shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Series 1A Preferred shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares subject to the preference of the Series 1A Preferred shares.

Series 2B Preferred shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Series 1B Preferred shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares subject to the preference of the Series 1B Preferred shares.

Series 2C Preferred shares have full voting and equity rights. Dividends are paid pari passu with other share classes entitled to dividends. Series 1C Preferred shares have preferential rights on a distribution on a winding up or liquidation equal to the amount subscribed for the shares.

On 9 March 2023, the company issued 712 Ordinary shares of £0.00001 each for cash consideration of £235.

On 23 March 2023, the company issued 134,306 Ordinary shares of £0.00001 each for cash consideration of £2,431,144, less £145,516 of transaction costs.

On 4 April 2023, the company issued 212 Ordinary shares of £0.00001 each for cash consideration of £70.

On 21 April 2023, the company changed the name of 550,000 Ordinary shares to Series 2C Preferred shares.

On 12 July 2023, the company issued 7,384 Ordinary shares of £0.00001 each for cash consideration of £55,170.

On 13 December 2023, the company issued 20,232 Ordinary shares of £0.00001 each for cash consideration of £107,696.

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

24 Share premium account

	Group 2023 £	2022 £	Company 2023 £	2022 £
At the beginning of the year	13,374,314	11,370,946	13,374,314	11,370,946
Issue of new shares	2,448,799	2,003,368	2,448,799	2,003,368
At the end of the year	<u>15,823,113</u>	<u>13,374,314</u>	<u>15,823,113</u>	<u>13,374,314</u>

Consideration received for shares issued above their nominal value net of transaction costs.

25 Reserves

Share based payment reserves

Includes credit to equity for equity-settled share-based payments.

Profit and loss reserves

Cumulative profit and loss net of distributions to owners.

26 Cash absorbed by group operations

	2023 £	2022 as restated £
Loss for the year after tax	(5,584,561)	(6,296,942)
Adjustments for:		
Taxation credited	(13,449)	(4,507)
Finance costs	1,763,240	897,851
Investment income	(20,689)	-
(Gain)/loss on disposal of tangible fixed assets	(496)	71
Amortisation and impairment of intangible assets	1,094,255	1,094,255
Depreciation and impairment of tangible fixed assets	66,092	57,517
Equity settled share based payment expense	839,056	1,474,944
Movements in working capital:		
Increase in debtors	(1,114,162)	(595,175)
Decrease in creditors	(2,154,140)	(2,101,801)
Increase in deferred income	1,277,781	1,163,900
Cash absorbed by operations	<u>(3,847,073)</u>	<u>(4,309,887)</u>

STYLESCAPE LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER 2023

27 Analysis of changes in net debt - group

	1 January 2023 £	Cash flows £	Exchange rate movements £	31 December 2023 £
Cash at bank and in hand	2,132,524	414,198	(72,114)	2,474,608
Borrowings excluding overdrafts	(10,003,008)	(3,507,801)	436,601	(13,074,208)
	<u>(7,870,484)</u>	<u>(3,093,603)</u>	<u>364,487</u>	<u>(10,599,600)</u>

28 Operating lease commitments

Lessee

At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	Group 2023 £	2022 £	Company 2023 £	2022 £
Within one year	917,050	1,138,987	614,615	614,645
Between one and five years	875,925	1,229,291	512,204	1,229,291
	<u>1,792,975</u>	<u>2,368,278</u>	<u>1,126,819</u>	<u>1,843,936</u>

29 Related party transactions

Remuneration of key management personnel

The remuneration of key management personnel of the group, including directors, is as follows.

	2023 £	2022 £
Aggregate compensation	<u>3,275,062</u>	<u>2,899,769</u>

30 Controlling party

In the opinion of the directors, there is no ultimate controlling party.